TOPIC 3 · ECONOMIC ISSUES

Source: ABC News
Wednesday 11 November 2026

Qantas sends 850 corporate jobs offshore

> Qantas will cut about **850 corporate roles** over the next few years under an outsourcing deal with **Accenture**, with most of the work moving to India. Its shares rose on the news.

WHAT HAPPENED

- The first changes, in **finance, procurement and marketing**, are due by **mid-2027**.
- Accenture staff, **mainly in India** and some in Australia, will take on the work. Qantas says it will redeploy as many staff as possible.
- Qantas cites more than **1,000 legacy IT applications** and wants to move faster on **AI**. It spends over A$1bn a year on technology.
- The **Australian Services Union** opposes the move. Qantas shares closed up about **5.6%**.
- **Coles** announced a similar plan in August to move up to 1,000 roles to India via Accenture.

Offshoring: moving work to another country to cut costs
Structural unemployment: job losses caused by long-term change in the economy, not the business cycle
Trade in services: services bought from abroad count as imports

KEY NUMBERS

850
Qantas corporate roles to go

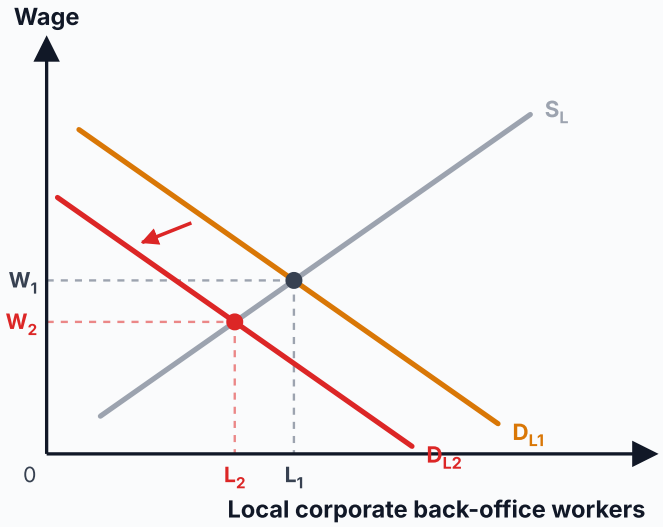
Mid-2027
When the first changes take effect

+5.6%
Qantas share price on the day

1,000
Coles roles moving offshore (August plan)

DIAGRAM

Falling demand for local back-office workers



When firms can buy the same services more cheaply from overseas, demand for local back-office workers falls from D_{L1} to D_{L2}.

Employment in this occupation falls from L_1 to L_2 and wage pressure eases from W_1 to W_2.

Workers whose skills don't match new jobs face **structural unemployment** unless they retrain.

Exam angle: offshoring shows how **globalisation of services** creates winners (lower costs, shareholders) and losers (displaced workers), which is a case for labour market policies such as retraining.

WINNERS AND LOSERS

Who gains and who loses from offshoring?

Likely winners

- **Qantas shareholders**: lower costs, shares up 5.6%
- **Workers in India** and Accenture
- **Customers**, if savings flow through to prices or service

Likely losers

- **Displaced Australian staff** in finance, procurement and marketing
- **Local communities**, through lost incomes and spending
- **Government**, through less income tax and more support payments

SYLLABUS LINK

Topic 3 – structural unemployment and the effects of globalisation on jobs. Topic 1 – trade in services. Topic 4 – labour market policies (retraining, redeployment).

TRY THIS

Evaluate the impact on the Australian economy of firms offshoring service jobs.
(6 MARKS)

ABC News – Qantas to cut 850 corporate jobs as it moves roles overseas in Accenture deal: https://www.abc.net.au/news/2026-11-10/850-jobs-to-go-from-qantas-as-airline-moves-roles-overseas/107368120
ABC News – Markets live blog, 10 Nov 2026: https://www.abc.net.au/news/2026-11-10/asx-markets-business-live-news-november-10-2026/107363300

Diagrams are illustrative, not to scale